

MODULE 1

INDUSTRY OVERVIEW

CHAPTER 1

The Investment Industry: A Top-Down View

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How the Financial System Links Savers and Spenders

Role of the Financial System

- Connects **savers** (those with extra money) and **spenders** (those who need money).
- The **financial services industry** provides products and services that help channel funds between them.
- Terms such as *money, cash, funds, capital* are used interchangeably.

Who Are Savers and Spenders?

- **Savers:** Individuals, companies, and governments with surplus money to invest.
- **Spenders:**
 - Individuals—borrow for homes, education, or other expenses.
 - Companies—borrow for land, buildings, equipment.
 - Governments—borrow when tax revenues are insufficient.

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How the Financial System Links Savers and Spenders

Types of Assets for Investment

- Real assets: Physical items with value (land, buildings, machinery, gold).
 - Also called *physical capital*; used in production.
- Financial assets: Claims on real or financial assets.
 - Example: A share represents ownership in a company.
 - Collection of financial assets = portfolio.

Securities (Tradable Financial Assets)

- Debt securities (bonds / fixed-income securities):
 - Represent loans from investors (lenders) to borrowers.
 - Borrowers repay principal + interest.
 - Investors are called bondholders.

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Equity securities (stocks/shares):

- Represent ownership in a company.
- No obligation for companies to repay shareholders or pay dividends.
- Investors expect returns through price appreciation and possible dividends.

Financial Markets

- Markets are places where buyers and sellers meet to trade.
- Securities markets/financial markets facilitate buying and selling of financial assets.
- These markets enable efficient issuance and trading of securities.

Flow of Funds

- The financial services industry channels money from providers of capital (savers) to users of capital (borrowers).
- This flow supports economic growth by funding productive activities.

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Direct Finance

- Occurs when savers lend or invest directly with borrowers through financial markets.
 - Providers of capital have a direct claim on users of capital.
- Example: Owning Nestlé shares gives you direct ownership rights.*

Indirect Finance

- Happens when savers and borrowers interact through financial intermediaries.
- Financial intermediaries act as middlemen, so savers do not have direct claims on borrowers.
- Intermediaries may also create new financial products based on other assets.

Role of Financial Intermediaries

- Help savers and borrowers **find each other** efficiently.
- Useful because many savers lack time, expertise, or resources to:
 - Evaluate potential borrowers,
 - Monitor financial health,
 - Assess credit risk.
- Intermediaries can **identify, match, and monitor** borrowers more efficiently and at lower cost.
- They reduce overall transaction costs and improve the functioning of the financial system.

Exhibit 1 Overview of the Financial Services Industry

